中国银行间市场交易商协会
National Association of Financial Market Institutional Investors

The Reform and Development of China's Bond Market

2025

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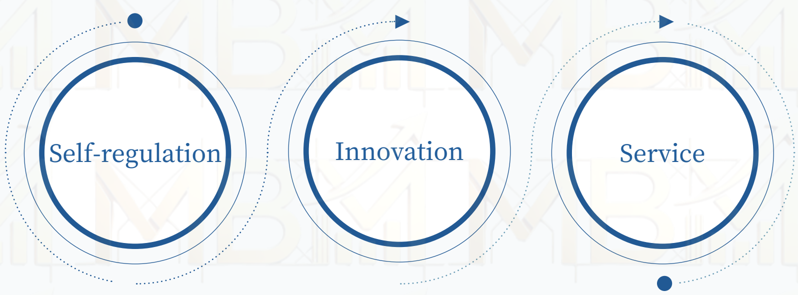
NAFMII and Its Role in China's Interbank Market

The National Association of Financial Market Institutional Investors (NAFMII) is a self-regulatory organization (SRO) of China's interbank market, an OTC market consisting of the interbank bond market, interbank lending market, foreign exchange market, bill market, gold market and the financial derivatives market. NAFMII was founded on September 3, 2007, under the approval of the State Council. It is composed of market participants, intermediaries, practitioners and experts in related fields voluntarily. It regulates the market under the supervision of the People's Bank of China (PBC). As of the end of 2024, NAFMII had 9,900 members in total, including banks, securities companies, insurance companies, credit cooperatives, fund management companies, trust companies, finance companies, large enterprises and other institutions.

NAFMII conducts self-regulation on China's interbank market in accordance with the principles of market-orientation and professionalism. NAFMII's mandates are to (i) formulate and oversee the implementation of self-regulatory rules, standards and professional ethics; (ii) serve the members by providing professional training, continuing education and disputes mediation, to safeguard members' legitimate rights and interests; (iii) drive product and institutional innovation tailored to the characteristics of the market, refine the registration and issuance mechanisms and procedures; (iv) foster international exchanges to promote the market opening up. NAFMII continues to strengthen self-regulation in the interbank market, enhance its capacity to support the development of the real economy, and drive the sustained and healthy growth of the interbank market.

Principles of NAFMII



Part I

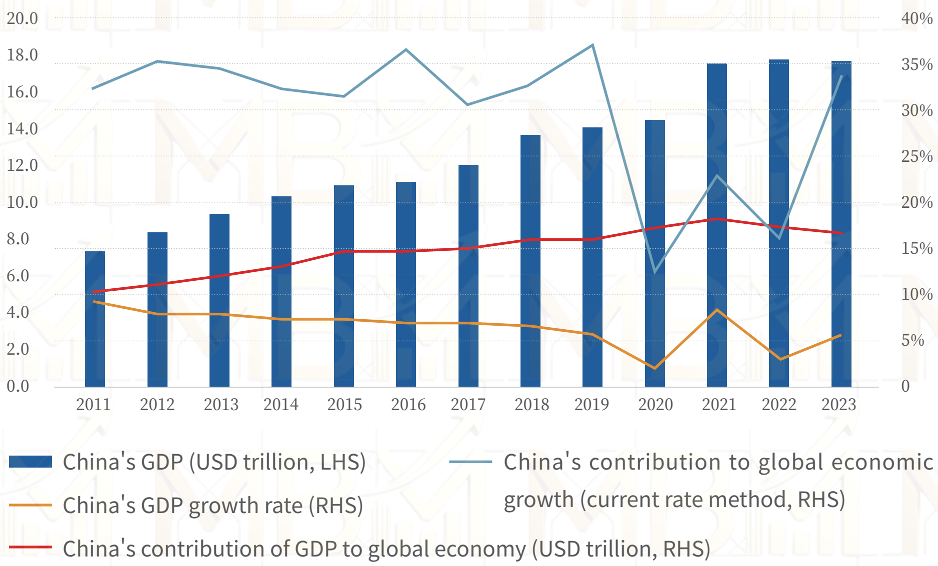
Overview of China's macroeconomic, financial conditions and the interbank market

1.1

China's macroeconomics and financial market conditions

China is the fastest growing major economy in the world in the past two decades, and has made important contributions to the world economic growth. In 2023, China's gross domestic product (GDP) registered USD17.8 trillion, making it the world's second largest economy, accounting for 16.8% of the global economy. According to the World Bank, China has contributed more than 20% to the global economic growth over the past decade. In recent years, China's economy has shifted high-speed growth to medium-high-speed, and the GDP growth rate has fallen from around 10% in 2010 to about 5%.

Figure 1-1: China's GDP Growth and Its Contribution to Global Economy



Source: National Bureau of Statistics of China, World Bank, United Nations Statistics Division.

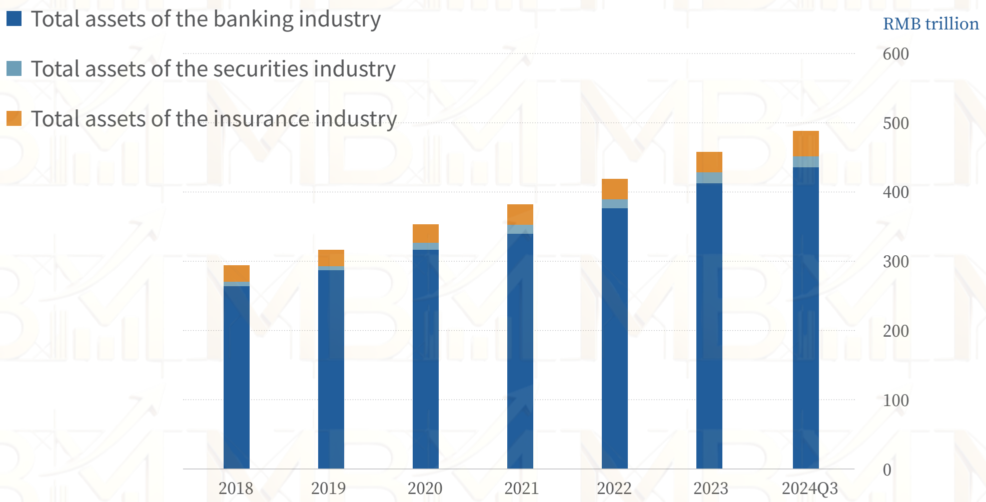
With a super large market，China has the potential to sustain a medium-high growth in a long time. First, China's economic rebalancing has made great progress in the past decade. Before the financial crisis in 2008, China's economic growth was primarily driven by investment and exports. In 2023, Final consumption expenditure contributes more than 40% to China's economic growth, and consumption has become the biggest driving force for economic development. Second, the large middle-income group is a strong support for medium- and long-term demand. China's high-quality urbanization has formed the world's largest middle-income group of more than 400 million. So there is still room for urbanization compared with developed countries. [1]Third, China has all the industrial categories. Being the only country that has all the industrial categories listed in the United Nations' International Standard Industrial Classification of All Economic Activities, China boasts a unique advantage brought by industrial integration, making it irreplaceable by any country at present. Fourth, China demonstrates strengths in human capital. According to the Human Capital Index released by the World Bank in 2020[2], China out performs the emerging economies such as Brazil and India, which helps to improve the total factor productivity. Fifth, New quality productivity has developed steadily. Scientific and technological innovation represented by integrated circuits, artificial intelligence, and quantum technology has made important progress, the intelligent transformation and digital transformation of traditional industries have continued to advance, and the pace of green and low-carbon transformation has accelerated.

The size of China's financial market is among the largest in the world, and the country is currently accelerating the process of filling some gaps. At the end of the third quarter of 2024, the total assets of China's financial industry were RMB 48.9 trillion, of which the total assets of the banking industry were RMB 43.95 trillion, the total assets of the securities industry were RMB 14.6 trillion, and the total assets of the insurance industry were RMB 35.0 trillion China's banking industry is the largest in the world, with five commercial banks listed as global systemically important financial institutions. China's capital market is developing rapidly. By the end of 2024, the bond market size exceeded RMB 177 trillion, and the total market value of the stock market was over RMB 85 trillion, making it the world's second largest bond market and stock market. The international recognition and attractiveness of China's financial market are also significantly improving, with A shares and government bonds being included in global mainstream indices such as MSCI, FTSE Russell, Bloomberg Barclays, and JPMorgan Chase.

[1] In 2024, the urbanization rate of China is 67%, while that of the developed countries is generally above 80%.

[2] In 2020, the World Bank launched the Human Capital Index to compare countries' investments in education and health for young people. The World Bank believes that the greater the investment in education and health in an economy, the higher the creativity and salary of its workers, thus making the economy more valuable and stronger.

Figure 1-2: Assets of the Financial Sector



Source: National Bureau of Statisticsof China

After more than 40 years of reform and opening up, China's economy has accumulated wealth and assets, and formed favorable conditions for growth such as the middle class, industrial system, and human capital. However, it also faces medium- and long-term challenges such as the aging of the population, the difficulty of low-carbon transformation, the large income gap, the low efficiency of some economic sectors, and the accumulation of financial risks in some areas. China implements the five development concepts of "innovation, coordination, greenness, openness, and sharing" to effectively solve the problems of imbalance and inadequacy in development, prevent and resolve systemic risks, and promote high-quality economic development.

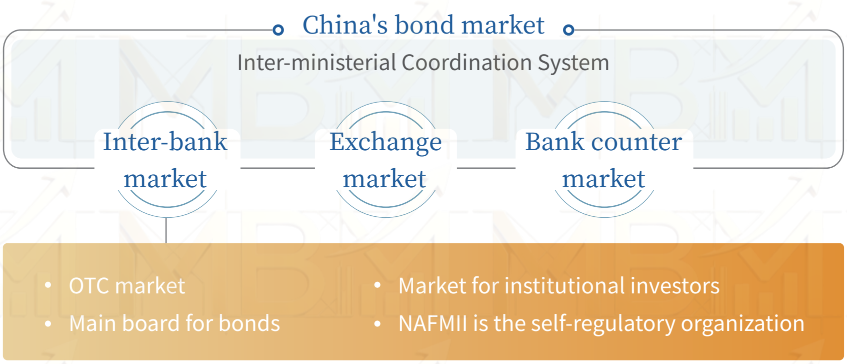
1.2

China's booming interbank bond market

Along with the reform of China's economic system, China's over-the-counter financial market for institutional investors, the interbank market, was established and developed rapidly. Over the past 30 years, the interbank market has become an over-the-counter financial market system covering the bond market, interbank lending market, foreign exchange market, bill market, gold market and financial derivatives market. The product structure and participant structure of each sub-market of the interbank market are becoming increasingly rich, and the market scale is gradually expanding, playing an important role in supporting macro-control, financial reform, and economic development.

China's bond market has typical "emerging + transition" characteristics. It developed under the condition of imperfect financial ecology, and deepening reform has been running through its development. In 1997, China established an inter-bank bond market for institutional investors and traded in an over-the-counter inquiry manner. After more than 20 years of development, the scale of the inter-bank bond market has grown steadily, its financing function has continued to strengthen, the market participants and bond varieties have continued to enrich, and the financial infrastructure has continued to improve. Healthy competition has formed between the inter-bank market and the exchange market, jointly promoting the rapid development of China's bond market.

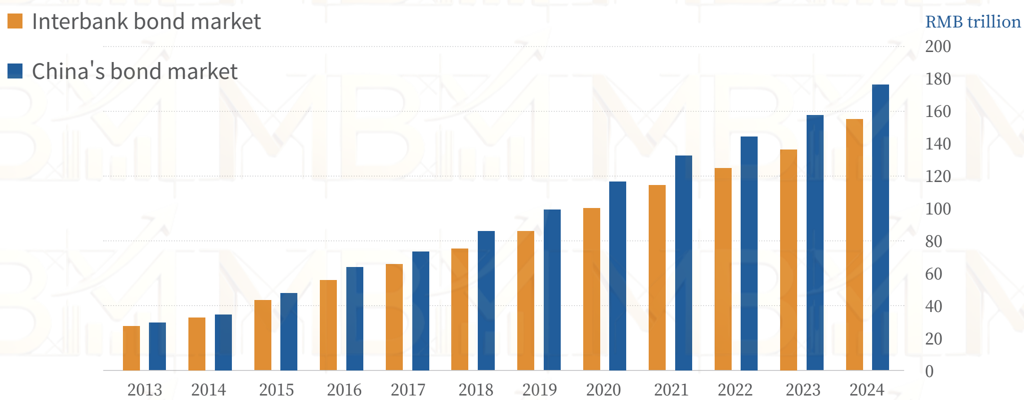
Figure 1-3: Composition of China's Bond Market



Market size and products

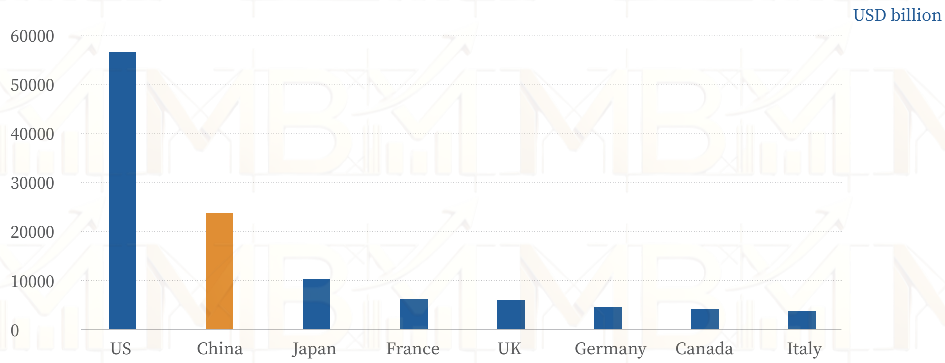
At the end of 2024, the aggregate amount of China's bond market was RMB 177 trillion, and the aggregate amount of the interbank bond market was RMB 155.8trillion, accounting for 88% of the aggregate amount of China's bond market. In the past ten years (2015-end of 2024), the average annual growth rate of the stock of the interbank bond market was 17%. From the perspective of market size/GDP ratio (2023), China's bond market accounts for 131% of GDP, which is lower than major economies such as the United States and Japan, and there is still a lot of room for development. By type of issuer, interbank bond market products include government bonds, financial institution bonds and corporate credit bonds.

Figure 1-4: Outstanding debt securities on the Interbank Bond Market



Source: People's Bank of China

Figure 1-5: Outstanding debt securities as of the end of Q2 2024

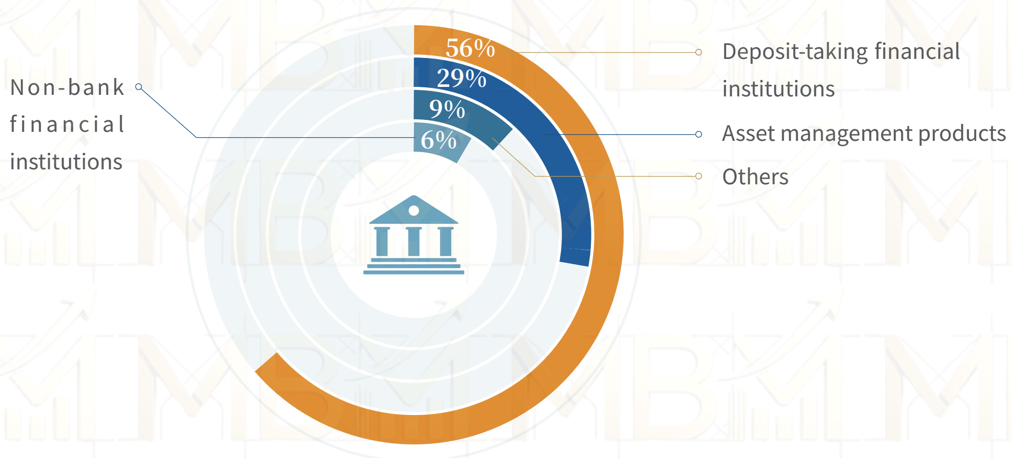


Source: Bank for International Settlements

Investor structure and trading activities

The interbank bond market has a variety of investor types, including various types of institutional investors. In terms of the number of investors and the amount of debt held, the interbank bond market has a large base of investors, rich types, and a dispersed market holding structure. With the diversification of investor groups, the continuous enrichment of product types, the gradual improvement of market mechanisms, and the gradual improvement of market transparency, the trading activity of the interbank bond market continues to increase. In 2024, the interbank bond market will have a spot transaction of RMB 37.8 trillion, a year-on-year increase of 23%. Among them, the turnover rates of National Development Bank bonds and treasury bonds exceeded 7 times and 3 times respectively, which are varieties with relatively good liquidity.

Figure 1-6: Investor Structure of CIBM (as of the end of November 2024)

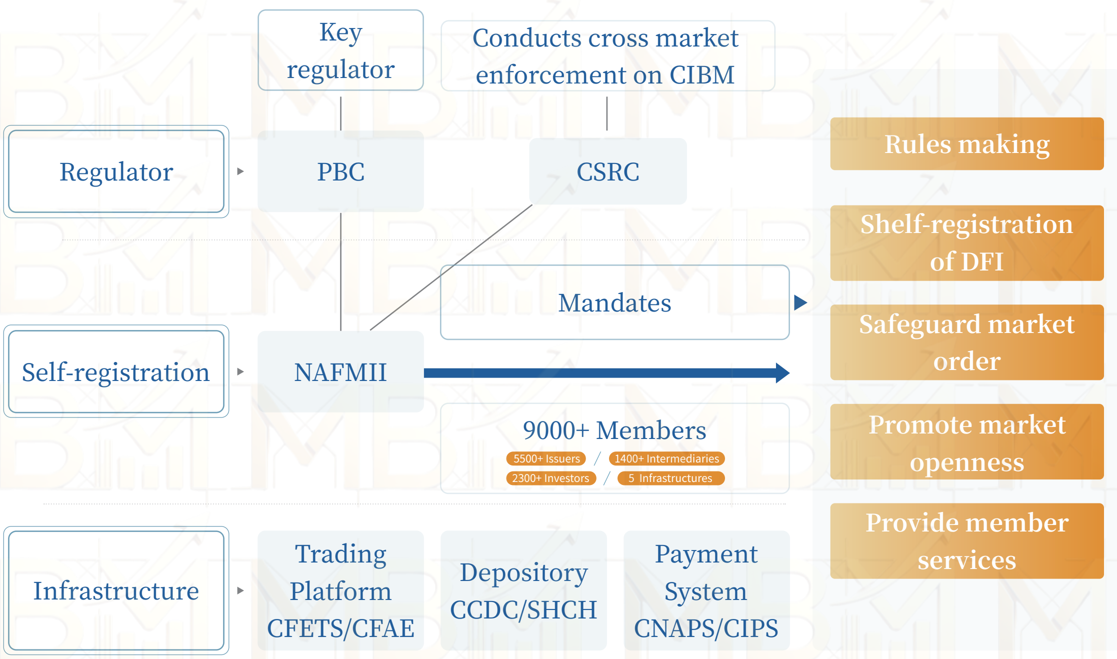


Source: CCDC, SHCH

Regulation and infrastructure

The inter-bank bond market has established a unified hierarchical management structure. The People's Bank of China (PBC) performs its regulatory duties for the inter-bank bond market in accordance with the law; the China Securities Regulatory Commission (CSRC) conducts cross-market law enforcement in the inter-bank bond market, investigates and cracks down on major illegal and irregular behaviors; NAFMII, under the guidance of the PBC, is mainly responsible for the self-regulation of the front line of the market. The trading platforms of the inter-bank bond market is the Foreign Exchange Trading Center (CFETS)and the Beijing Financial Asset Exchange (CFAE), and the depository and custodian institutions are the China Central Depository & Clearing(CCDC) and the Shanghai Clearing House (SHCH). CCDC is the primary depositary and custodian for PRC government bonds, financial bonds issued by policy banks and certain other products, while SHCH is primary depositary and custodian for corporate credit bonds and certain innovative products.

Figure 1-7: NAFMII is a self-regulatory organization of the interbank market



Part II

Framework of Market Operation

China's corporate credit bond market developed in a relatively slow pace before 2004.This market landscape has changed after the inception of NAFMII in 2007 and the introduction of the registration regime for bond offerings on an OTC market. According to BIS statistics, China has ranked the second in the world in terms of the size of corporate credit bond market.

2.1

The registration regime reform with market orientation

The bond issuance registration regime is based on the principles of marketization, specialization, and rule of law. It leaves it to the market to decide whether a company can issue bonds, how much bonds it can issue, at what price, and when to issue bonds. Under the premise of adhering to the concept of the registration system and market-oriented operation, the corporate credit bonds registered with NAFMII - the debt financing instrument (DFIs) market has formed a set of standardized and effective registration and issuance work systems.

Table 2-1: the Registration Regime

Core	Information disclosure by issuers	As the primary party responsible for information disclosure, the issuer shall disclose all the material information in a truthful, accurate, complete, timely and fair manner.
Basis	Performance of duties by intermediaries	Intermediaries shall assist the issuer on information disclosure and provide investors with high-quality, independent, objective and professional opinions.
Premise	Investors assuming risks for their investment decisions	Investors shall obtain adequate information, make investment decisions and assume risks therefor.
Procedure	Registration review by NAFMII	NAFMII shall organize experts to review the truthfulness, accuracy, completeness and timeliness of the issuer's information disclosure without making any substantive judgments on the investment value of the bonds.
Safeguard	Self-regulation of the market	A regulatory framework featuring the NAFMII self-regulation& market self-discipline.

NAFMII continues to optimize the registration regime to facilitate market participation and vitalize the market.

Table 2-2: Improvements in the Regulatory Regime for Bond Registration and Issuance

Mechanism	Arrangements
Shelf registration	• After the bonds are registered with NAFMII and during the two-year validity period of the registration, the issuer can issue bonds in its discretion.[3] Seasoned issuers may prepare one set of registration documents covering multiple types of debt financing instruments (referred to as "DFI Registration"). Under the DFI Registration regime, seasoned issuers are not required to set a registration amount at the time of registration. As the end of 2024, there were more than 230 seasoned issuers.
Private placement	• Investors qualified to invest in bonds offered through private placement include: specific institutional investors (X)[4] and specialized institutional investors (N)[5] in the CIBM. In particular, specific institutional investors(X) are selected and determined by the issuer/enterprise and lead underwriters while a list of specialized institutional investors(N)has been released by NAFMII in accordance with the relevant procedures (as the end of 2024, the number of specialized institutional investors reached 506.) • Private placement features greater flexibility in bond terms and the details and methods of information disclosure based on agreements between the issuer and investors.
Tiered management of enterprises	• Based on the enterprise's market position and information disclosure experience, issuers are classified under a differentiated registration and issuance mechanism. • Seasoned enterprises with good market reputation and experienced in information disclosure enjoy more convenience in streamlined registration and issuance processes.

[3] Certain issuers lacking in experience in bond issuance can issue bonds in its discretion within one year of the registration, and conduct bond issuances after such one-year period aftermaking a filing with NAFMII.
[4] Investors are familiar with the targeted products and can identify and assume the related investmentrisks.
[5] Investors have rich experience in participating in the primary market, have the capacity of risk identification and disposal, and can make independent investment decisions and bear risks.

2.2

Information disclosure system

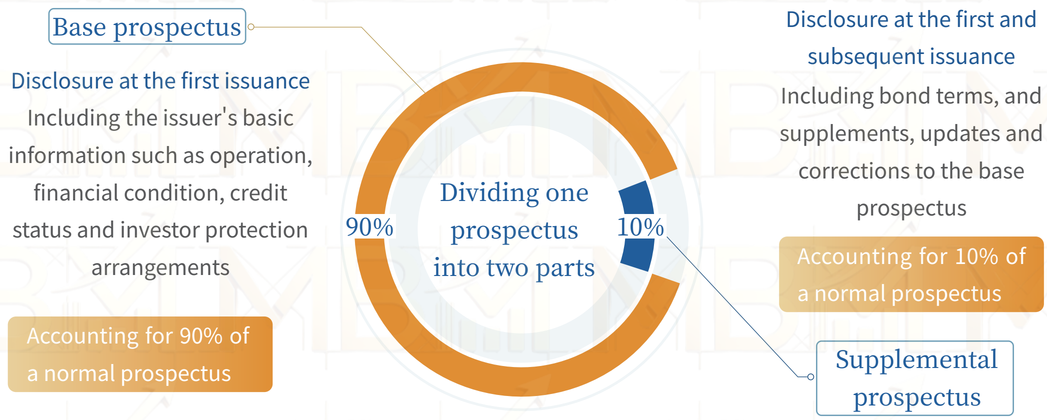
As the core of the registration regime, information disclosure is not only an important part of investor protection, but also the foundation for preventing systemic risks. Market transparency directly affects the efficiency of market operation.

The Rules on Information Disclosure of Debt Financing Instruments of Non-Financial Enterprises in the Interbank Bond Market issued by NAFMII requires issuers and other relevant parties to disclose information in a truthful, accurate, complete, timely and fair manner. The system featuring “Information Disclosure Rules –Form Requirements –Sample Disclosure” for the DFI market has been established. NAFMII will continue to amend and improve the disclosure rules, and urge relevant parties to fulfill their duties and improve the quality of information disclosure in the CIBM. Different from the practices on the international markets, the concept of post-issuance management obligations has been introduced to China's domestic bond market. Ongoing information disclosure during the life of the bonds is among the most important post-issuance obligations to strengthen the protection of investors' rights and interests.

To further streamline information disclosure of frequent issuers, highlight the most relevant information, and facilitate investors' decision-making, leveraging on the practices of Euro Medium Term Notes (EMTN), NAFMII has launched the FIP program.

Under the FIP program, issuers shall disclose the “base prospectus plus supplemental prospectus” to register, and conduct the first offering of DFIs. For subsequent issuance, if there has been no new annual financial report, the issuer only needs to disclose the bond terms, use of proceeds (UOPs) and material events (if any) in the supplemental prospectus instead of making repetitive disclosure on other information already disclosed in the base prospectus.

Figure 2-1: The FIP Program

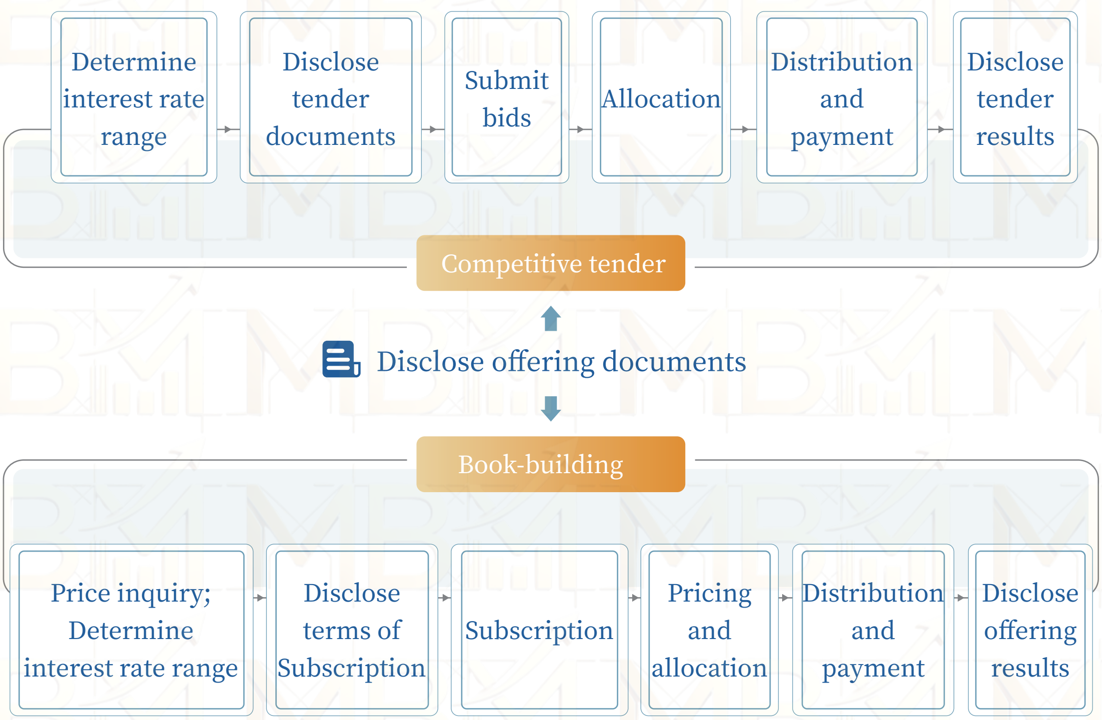


2.3

Bond offering and pricing mechanism

There are two ways of bond offering, competitive tender or book-building. In practice, DFIs regulated by NAFMII are primarily offered via book-building. Market participants can choose book-building site provided that certain basic requirements (on policies and procedures, personnel, systems and premises, etc.) are met. PRC government bonds, PBC notes, policy bank bonds, and certain corporate credit bonds are issued via competitive tender. Investors can directly access the bond offering system developed by the PBC to submit bids.

Figure 2-2: Bond Issuance Process in the CIBM



To ensure the fairness and impartiality of price discovery which shall be conducted in an orderly manner, NAFMII has been strengthening self-regulatory supervision over bond offerings in recent years by releasing rules, initiating the execution of the Self-discipline Convention, and optimizing the book-building system. Such measures have addressed thorny issues in bookbuilding, promoting a more transparent and market-oriented offering process (see Table 2-3).

Table 2-3: More Standardized, Transparent and Market-oriented Bond Issuance in the CIBM

<table>
<tr><th>Measures</th><th>Details</th><th>Targets</th></tr>
<tr><td>Formulating self-regulatory rules on bond issuance</td><td>Regulating the entire issuance process including information disclosure, price inquiry, book-building and subscription, pricing and allocation, settlement and distribution.</td><td rowspan="5">• Promoting compliance and fair competition among market players.
• Promoting the notions of market–oriented offerings, compliance and transparency.
• Improving the price discovery function of the bond market and the efficiency of resource allocation.</td></tr>
<tr><td>Promoting market-oriented bond pricing</td><td>• Guiding issuer and investors to set a reasonable pricing range through price inquiry.
• Bond pricing should be based on benchmark rates, taking credit risk, tenor, liquidity and other factors into consideration.
• Issuers shall not interfere with bond pricing nor determine coupon rate in violation of applicable regulations.</td></tr>
<tr><td>Enhancing standardized operation and transparency of book building</td><td>• The subscription information shall be disclosed by bookrunner to the issuer and the syndicate members on a timely basis during the bookbuilding process.
• The syndicate members should share the above information with the investors in a timely manner.
• Regulating the end-to-end operations of book-building.</td></tr>
<tr><td>Regulating standby commitment underwriting and improving transparency</td><td>• Relevant information about stand by commitment offering shall be disclosed.
• Standby commitment should be only performed after the subscription session ends, and relevant orders should not crowd out the subscription orders.</td></tr>
<tr><td>Other measures</td><td>• Initiating the execution of the Self-discipline Convention for underwriters to promote healthy competition.
• Conducting self-disciplinary investigations and enforcements against some issuers and underwriters that have interfered with bond pricing.
• Introducing a pilot program to refine bond pricing and allocation mechanism for overseas issuers.</td></tr>
</table>

Optimize the bond issuance mechanism and continue to strengthen issuance pricing

Box I

Under the guidance of the PBC, NAFMII has continuously strengthened issuance pricing standards to promote the sustained, healthy and high-quality development of the bond market.

➤ **Attach great importance to the issuance pricing norms and take multiple measures to maintain the issuance order.** Previously, Previously, under the background of increasingly fierce competition among underwriting institutions and prominent loan price advantages, there were irregular behaviors such as price competition and low-price standby commitment in bond issuance. In order to avoid the imbalanced allocation of financial resources caused by low-price standby commitment of bonds, and to further improve the market-oriented issuance level of debt financing instruments, NAFMII issued the Notice on Further Strengthening the Norms of Issuance Business in the Interbank Bond Market in July 2023. A series of measures were proposed in accordance with the principles of marketization, transparency and standardization.

➤ **Continue to govern low-price standby commitment and continuously improve the level of market-oriented issuance.** NAFMII continued to strengthen the daily supervision of issuance business, continued to monitor issuance, and intensified inspections. At the same time, the issuance observer mechanism of book-building was further improved, and on-site observation of book-building was carried out for some institutions to guide and improve the operation of book-building. In 2024, the issuance valuation deviation of debt financing instruments further converged, the issuance valuation deviation basically maintained a fluctuation within 1-2BP in the second half year, and the primary and secondary market spreads continued to narrow.

➤ In addition, NAFMII also paid attention to the fact that as the market situation changes, market institutions gradually formed new demands. Since June 2024, market members have spontaneously tried to conduct marginal allotments based on the principle of time priority for subscription, and to draw on the experience of mature markets to conduct issuance pricing such as volume and price phased book-building, so as to improve the efficiency of book-building issuance and better promote the formation of bond prices. To this end, NAFMII has also increased its market research efforts. In the next step, based on market practice experience, NAFMII will evaluate the results of exploration practices, organize market members to study and optimize the issuance pricing mechanism, and promote high-quality development of the bond market.

2.4

Investor protection toolkit

The investor protection mechanism for DFIs has been strengthened on a continuous basis, now covering the entire process of registration, issuance and post-issuance of bonds. Firstly, investor protection covenants can be included in the prospectus to deter the issuer's bad conduct, and at the same time, facilitate the resolution process upon the occurrence of a default. Secondly, the collective action mechanism, such as meeting of bondholders, trustee and consent solicitation, has been developed to provide investors with tools for orderly resolution of risks through collective actions. Thirdly, involved parties are encouraged to adopt diversified measures to mitigate risks and protect the legitimate rights and interests of all parties to the greatest extent.

Table 2-4: Investor Protection Toolkit in the CIBM

Investor protection mechanism	Objectives	Contents	Market practices
Investor protection covenants	To protect investors and address their concerns to facilitate bond issuance.	Cross-default provisions, covenants, negative pledges, change of control clauses, debt repayment assurance, and asset mortgages and pledges.	Issuer shall make relevant covenants in the bond terms to address investors' concerns.

Meeting of bondholders	To promote sound interaction between issuers and bondholders to reach consensus on actions through collective actions by bondholders.	NAFMII has published the Detailed Rules of Bondholder Meetings to regulate the parties calling bondholders meetings, triggering events, and rules and procedures for convening the meeting, voting and other matters.	It serves as a platform for bondholders to express their reasonable demands and assert legitimate rights, and also the most important means for issuers and investors to negotiate and carry out liability management.
Trustee	To solve the difficulties in bondholders taking collective actions and take concerted actions to exercise rights on behalf of bondholders.	The trustee is retained by the issuer to supervise, on behalf of the bondholders, the issuer's performance of its obligations during the life of the bonds and act on behalf of the bondholders upon the occurrence of an event of default on the bonds. Responsibilities: manage and dispose of collaterals, represent bondholders in restructuring debts, file lawsuits and participate in bankruptcy proceedings.	As of the end of 2024, a total of 96 institutions of various types have registered with NAFMII as DFIs trustee.
Consent solicitation	To efficiently modify bond terms to protect investors' rights and facilitate the issuer to conduct liability management.	The issuer proactively solicits feedbacks from the bondholders on modifications to bond terms and other important matters affecting the rights of bondholders. The bondholders submit a confirmation to specify whet her they agree or not to give consent.	NAFMII introduced the consent solicitation mechanism to the CIBM in April 2022, requiring market participants to adopt this mechanism in compliance with applicable regulations.
Various other risk resolution measures	To improve the efficiency of risk resolution, protect the rights and interests of bondholders in debt resolution and help distressed issuers with liquidity difficulties survive the crisis.	Including amending basic repayment terms, repaying the debt with assets (e.g. goods or equities) to retire the bonds, and providing a trading/transfer mechanism for defaulted bonds.	NAFMII has issued the Guidelines for Bond Default and Credit Risk Disposal. Currently, various other risk resolution measures have been widely adopted by market participants.

2.5

Trading mechanism

Market participants can trade cash bonds, bond repurchases, bond lending and interest rate swap (IRS) in the CIBM, deploying the following trading mechanisms: bilateral trade, click-to-trade, request for quotation (RFQ), and X-trade. Money brokers play an important role in the CIBM secondary trades where they collect the quotations of bond buyers and sellers and match them up for trading.

Table 2-5: Trading Mechanisms in the CIBM

Trading mechanism	Introduction	Products
Bilateral trade	Both counterparties negotiate transaction details between themselves and conclude the trade through bilateral communication.	Cash bonds, pledged repos, title-transfer repos, bond lending and IRS
Click-to-trade	Market makers issue public and tradable quotations, and investors can conclude trades in a click-and-trade manner.	Cash bonds and IRS
RFQ	Investors send a request for quotation to market makers. Market makers reply with quotations. Investors can choose to accept such quotations to execute the trade.	Cash bonds, pledged repos and IRS
X-trade	Investors submit anonymous orders to the trading system. Based on the bilateral credit line granted by the two counterparties to each other, the trading system will match the orders following the principle of price-time priority. Open orders that are not matched with other orders are available for click-to-trade.	Cash bonds, pledged repos, bond lending and IRS

Market liquidity in the CIBM continues to improve. In 2024, the CIBM's cash bond trading volume reached RMB377.8 trillion, increased 23% year-on-year.

Table 2-6: Liquidity in the CIBM

Annual Turnover Ratio in the CIBM						US Market Turnover Ratio	
	2024	2023	2022	2021	2020		2023
PRC government bonds	3.5	2.6	2.3	2	2.7	Treasury bonds	7.2
Local government bonds	0.4	0.3	0.3	0.3	0.6	Municipal bonds	0.8
Certificates of deposit (CD)	3.9	4.3	4	3.4	4.4		
Policy bank bonds	5.1	4.7	4.8	4.3	5.2		
Medium-term notes	1.4	1.6	1.6	1.4	1.6	Corporate bonds	0.9

Source: Calculated on the basis of Wind and SIFMA statistics

Part III

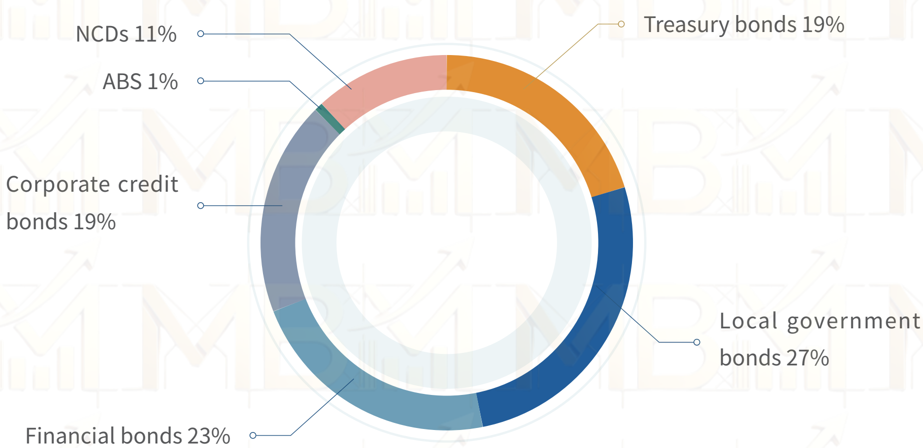
Bond products offerings

3.1

A broad spectrum of bond products in the CIBM

Debt securities in the CIBM can be divided into three major categories by issuer type: government bonds, financial institution bonds, and corporate credit bonds. Government bonds include PRC government bonds and local government bonds; financial institution bonds consist of bonds issued by policy banks, commercial banks and non-bank financial institutions, but mainly issued by commercial banks; and corporate credit bonds are composed of non-financial enterprise DFIs and bonds issued by listed companies (enterprises).

Figure 3-1: Bond product mix in the CIBM
(by outstanding volume as of the end of 2024)



Source: Wind

The segment of DFIs regulated by NAFMII consists of a broad spectrum of bonds with the framework of "basic products plus specialized products plus derivatives". Basic products are categorized into corporate credit bonds, structured products and bonds issued by overseas institutions; specialized products are categorized by use of proceeds, specific issuing entities and special bond terms or transaction structures; and derivatives mainly include credit risk mitigation instruments.

3.2

CIBM supporting green development and low-carbon transformation

The booming green bond market

The interbank green bond market has shown strong momentum. In terms of green bonds issued by Chinese enterprises in domestic and overseas markets, China has become one of the world's largest suppliers of green bonds, with banks being the most active issuers. In recent years, guided by the concept of green development, CIBM has seen rapid development in green bond offerings, the increasing financial products and services for green and low-carbon transition purposes, and the establishment of green finance standards.

Of the green bonds traded on the CIBM, green DFIs are registered with NAFMII and issued by non-financial enterprises. As of the end of 2024, the cumulative issuance volume of green DFIs (including green asset-backed notes) (see Table 3-2 for details of innovative products on green development and low-carbon transition) reached nearly RMB 1.24 trillion with the outstanding volume of more than RMB 500 billion, ranking first in China's green corporate credit bond market. The proceeds are mainly used in sectors including clean energy, clean transportation, resource conservation and utilization, and for other green purposes to facilitate the economy's transition to green and sustainable development.

Table 3-2: Diversifying Types of Green/Transition Bonds

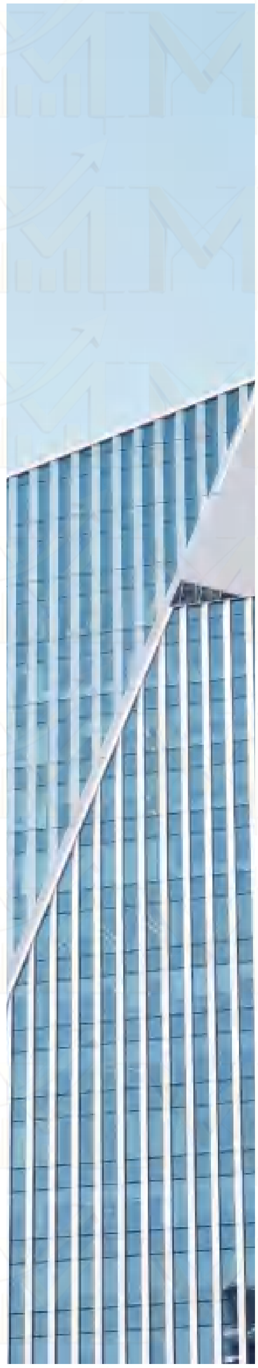
Product innovation	Product features	Impact on environment
Carbon neutral bonds	Proceeds are specially used for green projects with benefits of carbon emission reduction.	• A total of RMB489.7 billion of bonds had been issued as of the end of 2024. • Proceeds are used in sectors with obvious benefits of carbon emission reduction such as clean energy, clean transportation and sustainable buildings. • Reduced 91.2 million tons of carbon emissions, with significant effects on energy saving and emission reduction.
SLB	Linking bond terms to the issuers' SDG targets by determining KPIs and SPTs.	• As of the end of 2024, 93 SLBs had been issued with an aggregate principal amount of RMB 92.2 billion. • The SDG targets can be multiple indicators such as the scale of new installed capacity of clean energy, new sewage treatment capacity, and emission allowances compliance rate. • Enterprises are incentivized to achieve sustainable development in an orderly manner.
Transition bonds	Proceeds are specially used for low-carbon transformation industry, such as electric power, non-ferrous metals and other industries.	• Transition bonds had been issued in an aggregate principal amount of RMB6.6 billion. • Enterprises can follow a clear path to low-carbon transformation and development and help to realize the vision of carbon neutrality.

Improving the system of green bond standards

The China Green Bond Principles in line with international standards have been formulated by the China Green Bond Standard Committee (CGBSC), led by NAFMII. Four core components are established, namely, the use of proceeds, project evaluation and selection, management of proceeds, and information disclosure, specifying that the proceeds shall be 100 percent used for green projects.

Ongoing information disclosure in connection withgreen bonds has been enhanced. In November 2023, NAFMII led the CGBSC to release the *Guidelines for Green Bond Ongoing Information Disclosure* (hereinafter referred to as the “Guidelines”), which contains a template for ongoing information disclosure, displaying use of proceeds in a structured manner, and clarifying the measurement standards and disclosure requirements of environmental benefits. In February 2024, NAFMII released the *Notice on the Application of the Guidelines to Green Debt Financing Instruments,* a move to ensure the smooth integration of green bonds with the Guidelines and to enhance the quality of environmental information disclosure. All parties will jointly accelerate the clarification by the Shanghai and Shenzhen Stock Exchanges that the Guidelines apply to green corporate bonds, thereby unifying the ongoing information disclosure standards of green bonds.

The professionalism, independence and market reputation of verification and certification providers for green bond have been improved. To maintain a strict standard for green bonds, CGBSC carried out annual self-inspection and cross-checks on 18 verification and certification providers, urging them to develop



independent, professional and reputable work style. To fully play the role of the “gatekeeper” in the green bond market, CGBSC implemented differentiated management on verification and certification providers with different rankings, established incentive and accountability mechanism, standardized business origination and review process, improved their working quality and ensured relevant responsibilities are fulfilled. By taking these measures, green economic activities will be better identified, and funds will be accurately guided to flow into green areas.

- **Self-inspection and cross-checks on verification and certification agencies have been strengthened to regulate their market conducts.** In 2024, 18 verification and certification providers were involved into self-inspections, three of which were selected for cross-checks. A forum was convened to solicit opinions and suggestions on advancing market development from the verification and certification providers. Meanwhile, efforts were made to revise the market-based evaluation operating rules and supporting documents, implementing multiple measures to promote standardized development of the industry. Overall, the green bond verification and certification market has been running well with standardized business practices and continuously strengthened institution building. For issues such as insufficiently rigorous evaluation processes in individual institutions, the CGBSC has implemented self-regulatory measures to urge the intermediaries to strictly control market access for green bonds.

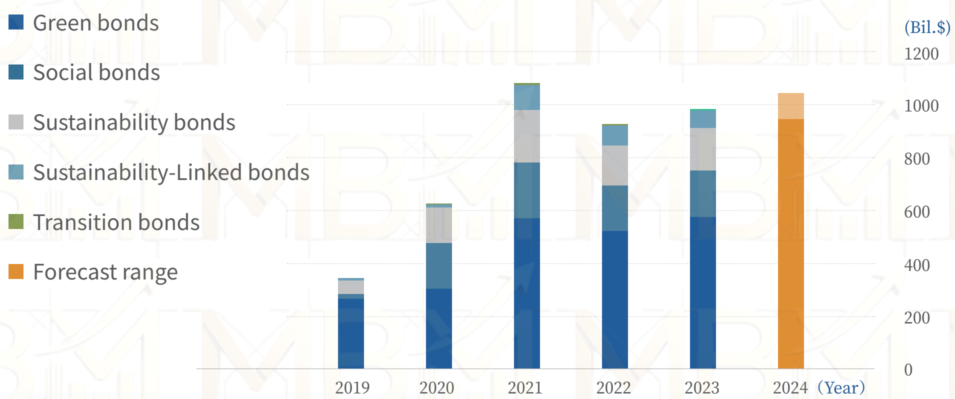
3.3 CIBM serving the sustainable development goals

Guided by the 2030 Agenda for Sustainable Development, green, social, sustainability and SLB bonds (hereinafter referred to as “GSSS”) have going through rapid development around the world, with an aggregate issuance amount over USD 1 trillion in 2024 and an estimated issuance amount of USD 1.046 trillion in 2025[6].

Table 3-3: Classifications of GSSS bonds

GSSS bonds	Use of Proceeds
Green bonds	All proceeds are used for projects with obvious environmental benefits, including climate change mitigation, renewable energy, natural resource protection, biodiversity protection and pollution prevention
Social bonds	All proceeds are used for projects with obvious social benefits, including affordable basic living facilities, health care, education and medical care, facilities for the elderly, facilities for the disabled, and food safety
Sustainability bonds	All proceeds are used for projects with obvious environmental and social benefits.
SLBs	Linking bond terms to the issuers' SDG targets by setting KPIs and SPTs

Figure 3-3: Global GSSS Bond Issuance in recent years



Source: S&P Global Rating
Source: Environmental Finance

[6] The data source is Environmental Finance, which includes transition bonds.

China's bond market has become an important force in financing sustainable development. In September 2021, NAFMII launched a pilot program to facilitate offerings of social bonds and sustainability bonds by overseas issuers in the CIBM, requiring the proceeds shall be exclusively used for sustainable development purposes, guiding financial resources to support environmental and social sustainable development. A number of overseas issuers have issued social bonds and sustainability bonds, attracting many ESG investors.

Table 3-4: Issuance of Social Bonds and Sustainability Bonds by Overseas Issuers

Issuer	Issuer type	Bond type	UOP
A	Multilateral development bank	Sustainability bonds	Issued under the issuer's Sustainable Development Bond Framework
B	Sovereign government	Sustainability bonds	For qualified sustainability spending under the issuer's sovereign sustainable financing framework such as climate-resilient agriculture, clean transportation, sustainable water and wastewater management, health, affordable housing, infrastructure, digital infrastructure, renewable energy and biodiversity protection
C	Overseas non-financial enterprises	Sustainability bonds	For sewage treatment, smart buses, new energy vehicle procurement, health care and other projects
D	Overseas non-financial enterprises	Social bonds	For collective purchase of feed from farmers or agricultural cooperatives in low-income and remote areas to help low-income groups obtain a stable and considerable source of income and decent jobs

3.4

CIBM Supports Technology Finance

NAFMII has been exploring product innovation to precisely channel funds to the "core technology". Since 2024, continuous efforts have been made to encourage and support the development of sci-tech innovation note. Throughout the year, the issuance of sci-tech innovation notes totaled RMB 604.2 billion, increasing by 49% compared to 2023. Among them, RMB 555.4 billion was issued by qualified technology enterprises, and RMB 47.1 billion was raised for qualified purposes. The bonds benefited nearly 300 enterprises with core technological competencies and market competitiveness in innovation-driven fields. The proceeds were primarily directed toward strategic emerging industries such as information technology, biomedicine, integrated circuits, and high-end equipment, effectively guiding financial resources toward fostering "new quality productive forces".

Sci-tech innovation notes have been used in a flexible way to support diverse technology enterprises. Through a "dual-channel" design, sci-tech innovation notes have met the financing needs of central and local SOEs, private enterprises, and public companies. By the end of 2024, NAFMII had supported 91 central SOEs, including China Electronics, Donfang Electric, and China Information Technology Group, to issue 426 bonds amounting to RMB 487.7 billion, accounting for 42% of the total issuance volume of the sci-tech innovation notes. 149 local SOEs, such as Wanhua Chemical, Inspur Information, and Data Hub had issued 596 bonds amounting to RMB 457.8 billion, representing 39% of the total issuance 33 private enterprises, including Sany Group, Hongdou Group, and Hengli Group raised RMB 170.1 billion through issuing 252 notes, constituting 15% of the total issuance. The popularity of sci-tech innovation notes among private enterprises has continued to grow, reflecting balanced development across various entities and heightened market attention.

Hybrid sci-tech innovation notes Box II

- To provide diversified financial services for technology enterprises throughout their life cycle, under the guidance of the PBC, NAFMII has continued to increase financing support to technology-driven enterprises by launching the hybrid sci-tech innovation notes. Tailored to address varying financing needs and growth potential at different development stages of technology enterprises, these notes incorporate terms such as realization and pledge of rights, alignment with future investment exit arrangements, and equity conversion. By extending bond maturities and linking coupon returns to the issuers' future growth, a debt-equity hybrid structure was designed.

- As of December 2024, 17 enterprises had issued hybrid sci-tech innovation notes totaling RMB 6.9 billion, realizing the "spectral effect" from debt to equity. The proceeds were precisely channeled into strategic emerging sectors like information technology, biomedicine, and high-end equipment, fostering an enabling environment for the growth of technology enterprises.

3.5

CIBM ABS promotes inclusive finance

In 2024, enterprise securitization products in the CIBM raised RMB 524.8 billion, marking a 63% year-on-year increase, with net financing reaching RMB 118.8 billion. The outstanding volume approached RMB 670 billion by year-end, driving market efforts to "revitalize existing assets" and "optimize incremental growth". Key initiatives include:

First, leverage the pooled credit enhancement features of securitization to empower SMEs and boost consumption. In 2024, internet platforms and auto leasing companies issued a total of RMB 234.5 billion of ABN, intensifying support for consumption stimulation and domestic demand expansion. Through financial leasing ABN and supply chain financing ABN, over 35,000 SMEs were cumulatively financially supported.

Second, advance intellectual property asset securitization to transform "intellectual property" into capital. Technology-driven enterprises were supported in monetizing patents, trademarks, and other intellectual property rights, with ABN cumulative issuance of 18 deals totaling RMB 3.5 billion, financing over 100 companies in sectors like new materials and IOT.

Third, launch covered bonds (CB) for private enterprises and supply chain bill ABS to promote financing channels for private enterprises and SMEs. Under the guidance of the PBC, NAFMII supported private enterprises such as Kelun Pharmaceutical and Qitan Technology in issuing 7 CBs, totaling RMB 2.73 billion, with collateral expanded to equity and receivable. NAFMII collaborated with the Shanghai Commercial Paper Exchange to pilot supply chain bill securitization, launching the first batch of pilot projects such as Tonghui Capital and Shandong Guarantee Group.

Fourth, support the transformation, upgrading, and deepening of reforms of central and local SOEs. Nearly RMB 200 billion was raised for central and local state-owned enterprises through securitization of infrastructure real estate and receivables, aiding local economic transformation.

Covered bonds (CB) for private enterprise Box III

Under the guidance of the PBC, NAFMII innovatively launched the private enterprise covered bonds (CB) in 2024. By introducing the "asset guarantee" structure, the CB aims to enhance the credit-financing (instead of secured-financing) capabilities of private enterprises and establish a long-term support mechanism for private enterprise financing. The instrument features the following innovations:

- **First, diversified issuers:** The CB has expanded the issuer base, covering a wide range of enterprises across multiple industries that are keys to national economic development. These industries include scientific and technological innovation, pharmaceutical distribution, pharmaceutical manufacturing, and information software.

- **Second, expanded asset categories:** The CB has broadened the types of assets that can be used for financing. In addition to traditional "hard assets" such as real estate and land use rights, the CB also incorporates "soft assets" such as equity, receivables, and intellectual property rights, which are more aligned with the operational characteristics of private enterprises.

- **Third, innovative guarantee models:** The CB offers flexible collateral arrangements to meet the diverse financing needs of private enterprises. Enterprises can choose from various collateralization options based on their creditworthiness and underlying asset characteristics, including partial collateralization, full collateralization, and over-collateralization.

Part IV

Diversified risk hedging instruments

By providing a wide range of financial instruments (including financial derivatives, bond repos and bond lending, etc.), the interbank market facilitates market participants to hedge risks to cater to their business needs, boosts trading activities and promotes price discovery. With the official release of the Futures and Derivatives Law, the single agreement and close-out netting system in China's OTC derivatives market have been established. This has further ensured the safety and stability of derivatives trading and promoted a more standardized, transparent, vibrant, and resilient OTC derivatives market in China.

4.1

Financial derivatives markets and derivatives master agreements

China's interbank derivatives market has witnessed rapid growth in recent years. A spectrum of comprehensive and actively traded derivatives products have been developed. In 2024, the trading volume on the interbank derivatives market was around RMB235.5trillion, of which interest rate derivatives (IRDs), foreign exchange derivatives (FXDs) and credit derivatives (CDs) contributed RMB 36.9trillion, RMB198.5 trillion and RMB 55 billion, respectively.

IRDs include government bond futures, interest rate swaps (IRS), forward rate agreements (FRAs), bond forwards, standard bond forwards and interest rate options. IRS is the most active IRD and interest rate hedging instrument. As of the end of 2024, the market size reachedRMB36.9trillion. Maturities range from one year to ten years. Short-term (one year and less) are very active. Products include FR007, Shibor3M, ShiborO/N, LPR1Y and LPR5Y, with FR007 the most active.

FXDs include RMB/FX Forward, RMB/FX Swap, RMB/FX Cross Currency Swap, RMB/FX Option and foreign currency pair derivatives trading. Trading modes include bidding, bilateral inquiry and match making. The Renminbi can be traded against currencies such as the US dollar, Euro and British pound, etc. As ofthe end of 2024, the market size reached RMB198.5 trillion.

Credit Derivatives comprise two types of products: one-on-one contract products, which cannot be traded in the secondary market, and one-to-many warrant products, which can be traded in the secondary market. Different products have been provided, such as credit risk mitigation agreements (CRMA), credit default swap index (CDS/CDX), credit risk mitigation warrants (CRMW), and credit-linked notes (CLN). NAFMII has introduced an innovative way of bond financing supported by CRMW since 2018. The credit protection seller offers a corresponding CRMW at the time of bond issuance. Bond investors can then subscribe to the CRMW on demand, which supports corporate bond financing and meets the bond investors' demand for risk hedging. In 2024, 414credit derivatives trades were concluded with a notional amount of RMB55 billion.

NAFMII has issued a number of standard derivative contracts to promote the standardization of derivatives trading and facilitate the steady and efficient development of the derivatives market. Such documentation includes master agreements of financial derivatives and related performance assurance documents, documents covering trading terms of various types of derivatives, and other documents formulated in line with the reform trends with respect to benchmark interest rates and the development of the credit derivatives market.

Swap Connect Cleared Derivatives Agreement (2024 Version)

Box IV

On April 28, 2023, in order to promote the development of the swap connect between the Chinese mainland and Hong Kong (Swap Connect), the PBC issued the *Interim Measures for the Administration of Cooperation on the Mutual Access Between Chinese Mainland and Hong Kong Interest Rate Swap Markets*, and the "Swap Connect" was officially launched on May 15 of the same year. The "Swap Connect" draws on the mature experience of the "Bond Connect", and introduced an innovative central counterparty (CCP) linkage mechanism, whereby two CCPs jointly provide centralized clearing services for IRS to both domestic and overseas investors. In April 2024, in order to meet the document needs of the participants, with the approval of PBC, NAFMII issued Swap Connect Cleared Derivatives Agreement (2024 Version)("Swap Connect" Agreement).

- The "Swap Connect" Agreement is tailored to the characteristics of the "Swap Connect", aligns with the mainstream trading models in the market, and takes into account the document usage habits of both domestic and overseas institutions. Based on meeting the basic requirements of risk management and compliance, it simplifies the negotiation elements to the greatest extent possible, improves the efficiency of document negotiation, and promotes the expansion of the "Swap Connect". The "Swap Connect" Agreement is an agreement that stipulates the rights and obligations of the two parties to a transaction in terms of concluding transactions and executing clearing under the business scenarios of the "Swap Connect". The agreement consists of two parts: the main text and the annex. It mainly includes clauses such as business definitions, scope of application and hierarchy of effectiveness, centralized clearing and handling after being refused clearing, representations and warranties, applicable laws and dispute resolution, as well as specific options for applicable laws and dispute resolution, service procedures, whether the master agreement for derivative transactions applies, data protection clauses, and other provisions.

- After the release of the "Swap Connect" Agreement, the Bank of China and HSBC Bank (China) respectively signed agreements with overseas investors and completed the filing procedures, becoming the first batch of "Swap Connect" participants to sign the "Swap Connect" Agreement. At present, the trading volume of the "Swap Connect" has significantly increased compared with that at the time of its launch, attracting more than 70 overseas investors to enter the market, covering various entities such as overseas central banks, commercial banks, securities firms, and asset management companies. In 2024, the business optimization functions such as contract compression, historical value date contracts, and International Monetary Market (IMM) contracts were newly added, further meeting the diversified risk management needs of domestic and overseas investors. Recently, new measures for performance collateral of the "Northbound Swap Connect" have been implemented. Overseas investors can use the onshore treasury bonds and policy financial bonds held through the "Northbound Bond Connect" as performance collateral for the "Northbound Swap Connect", further improving the efficiency of business expansion.

- In the future, NAFMII will continue to carry out the publicity and promotion of the document, continuously expand the connectivity between the financial markets of the Chinese mainland and Hong Kong, and contribute to the high-level two-way opening up of the financial sector.

4.2

Repo market and repo master agreements

The repo market is a crucial component of the financial market and a significant source of financing for financial institutions. The interbank market offers two types of repos: pledged repos and title transfer repos. Pledged repos are more prevalent in the domestic market compared to the international market. In 2024, pledge repo transactions amounted toRMB1672.2 trillion, be on par with last year; title transfer repo transactions totaled RMB8.5 trillion, a 57.4% increase YoY.

In 2013, NAFMII released the Master Agreement for Bond Repurchase in China's Interbank Market (2013) to enhance the efficiency of repo transactions, reduce legal costs, and mitigate market risks. Over 70,000 agreements have been executed by more than 3,200 financial institutions and asset management product managers.

4.3

Bond lending market and lending master agreements

Bond lending is a financing activity where the borrower borrows underlying bonds from the lender with a specified amount of collateral. The borrower agrees to return the bonds at a future date in exchange for the collateral provided.

In February 2022, the People's Bank of China (PBC) issued the *Measures for the Administration of Bond Lending in the Interbank Bond Market* to improve the regulation of bond lending, including on market participants, collaterals and master agreements, to enhance the efficiency and accessibility of bond lending. In June 2022, the NAFMII Master Agreement (2022 version) was released, which offers a standard document and the method for multilateral execution. This has greatly facilitated the participation of market institutions, particularly small and medium-sized institutions, and promoted the diversification of investors from commercial banks and securities companies to rural credit cooperatives, unincorporated products, and finance companies. The bond lending market has rapidly developed thanks to the continuous improvement in the regulatory regimes and the introduction of master agreements. In 2024, the market's transaction volume increased to RMB40 trillion, a 45.4% increase YoY.

Foreign institutions' Risk hedging in the interbank market

Box V

Foreign institutions investing in the interbank market now have access to risk hedging instruments as market open-up continues.

Table 4-1: Channels for Overseas Institutions to Participate in Domestic RMB-denominated Bond Market

Access Regimes	Types of Investors	Eligible Instruments					
		Cash Bond	Bond Lending	FRA	IRS	Bond Forwards	Repos
CIBM Direct(QFII/ RQFII included)	Foreign central banks, international financial institutions and sovereign wealth funds	✓	✓	✓	✓	✓	✓
	RMB clearing banks and participating banks	✓	✓	✓	✓	✓	✓
	Other overseas institutional investors	✓	✓	✓	✓	✓	
"Bond Connect"	Identical to those under CIBM Direct	✓					

In May 2023, the regulators launched the Swap Connect program to enable foreign institutions to participate in the domestic IRS market for risk hedging. This mechanism allows foreign institutions to complete domestic IRS transactions without opening an account in the domestic infrastructure, reducing costs and increasing the accessibility of the onshore IRS market.

Part V

Self-regulation

NAFMII has established a self-regulation framework with a variety of regulatory measures, including day-to-day monitoring, on-site and off-site inspections, market evaluation, dispute resolution, self-regulatory investigation and penalties. On the daily basis, NAFMII guides market participants to comply with self-regulatory rules through using a combination of conducting inspections, convening meetings with market participants on their regulatory breaches and administering market-based evaluations. To remediate violations by market participants, a set of regulatory actions has been established. For minor violations, self-disciplinary measures will be applied to raise the market participant's attention. Serious violations will be escalated to a self-disciplinary meeting where a decision on the appropriate penalties will be rendered. NAFMII continuously refines the mechanism to effectively integrate self-regulation, administrative supervision, and unified law enforcement, maximizes the complementary advantages of self-regulatory discipline and administrative enforcement, and enhances information sharing with regulatory authorities, judicial bodies, and disciplinary inspection and supervision agencies.

5.1

Routine supervision and inspections

NAFMII regulates the disclosure of information and the performance of duties by intermediaries through conducting ad hoc special checks and inspections on issuers and intermediaries. In 2024, NAFMII had conducted over 5,000special checks on market entities and business inspections on 21 entities, with a significant increase in frequency, broader coverage of entities, more diverse inspection methods, and more stringent post-inspection actions. At the same time, in response to minor violations, 190 business reminders and self-regulatory talks were conducted with issuers, lead underwriters, resale professional institutes, accounting firms, and other types of institutions.

5.2

Market-based evaluation of intermediaries

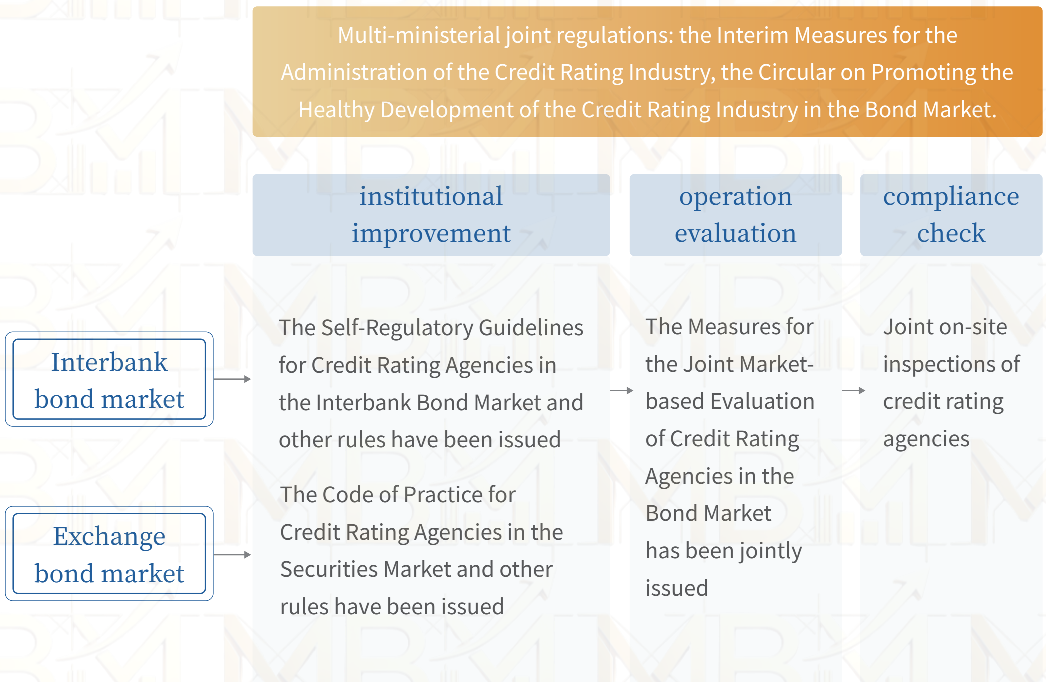
NAFMII conducts market-based evaluations of intermediaries to guide them towards compliance with law, professionalism and fair competition.

Table 5-1: Market-based Evaluation on Intermediaries

Intermediaries	Market-based Evaluation	Development of the industry
Lead Underwriters	"Reward the good and punish the bad. Access to the market vs. exit from the market." Continuously improve the initial evaluation process and establish the on-going evaluation mechanism.	• As of the end of February 2025, there were 99 lead underwriters including 92 full-service lead underwriters and 3 specialized lead underwriters for panda bonds, 4specialized lead underwriters for sci-tech innovation notes, and 69 underwriters in total, of which 14 are foreign-funded banks.
Credit Rating Agencies	NAFMII conducts market-based evaluation on the credit rating agencies and joint market-based evaluation with Securities Association of China.	• As of the end of 2024, ratings assigned by 11 credit rating agencies, including two foreign-funded rating agencies (S&P Global and Fitch Bohua), can be used on the interbank market. • Regulation of the industry has been continuously strengthened; regulators have gradually placed lesser reliance on credit ratings assigned by rating agencies in reviewing registration documents.
Market Makers	NAFMII has introduced evaluation indicators for the market making activities in the CIBM and performs periodic evaluations.	• As of the end of 2024, there were 107 market makers in CIBM. • Some of these market makers also provide market making for foreign investors through Bond Connect.

Since the introduction of the Interim Measures for the Administration of the Credit Rating Industry, which established a unified framework for the supervision of credit ratings, relevant supervisory authorities and self-regulatory organizations have further strengthened their coordination and cooperation. This collaboration has helped unify standards in areas such as institutional development, compliance inspections, and business evaluations, thereby enhancing supervisory synergy. In recent years, NAFMII and the Securities Association of China (SAC) have revised self-regulatory rules for the credit rating business to refine and implement the requirements outlined in the *Interim Measures for the Administration of the Credit Rating Industry and the Circular on Promoting the Healthy Development of the Credit Rating Industry in the Bond Market. In March 2024, NAFMII and SAC jointly issued the Measures for the Joint Market-based Evaluation of Credit Rating Agencies in the Bond Market*, and conducted a trial evaluation for the first time. Additionally, the relevant regulatory authorities and self-regulatory organizations carried out joint on-site inspections of credit rating agencies, further improving the efficiency of cross-sectoral collaborative management.

Figure 5-1: Rules and Measures of credit rating industry



5.3 Self-disciplinary investigations

Strengthening self-regulatory investigations is a key measure for NAFMII to prevent risks, enhance supervision, and promote development. It plays an important role in deterring market violations and fostering the standardized and orderly development of the interbank market. Self-disciplinary investigations involve formulating rules, accepting complaints, registering case clues and complaints, filing a case, and conducting an investigation. In December 2024, NAFMII renamed the Disciplinary Inspection & Supervision Office to Disciplinary Inspection & Supervision Office I and established Disciplinary Inspection & Supervision Office II. This restructuring aims to strengthen the staffing and professionalism of the offices and expand their responsibilities to include self-regulatory management functions related to anti-money laundering in the interbank market.

In 2024, NAFMII initiated investigations into over 90 institutions. In the primary market, investigations primarily target structured bond issuance, bond issuance with fee rebates, illegal interference with bond offerings, violations of rules on financial information disclosure and non-compliance in use of proceeds. In the secondary market, investigations primarily target improper transfer of benefits, market manipulation, insider trading and lending account with special permission. Throughout the year, NAFMII actively investigated numerous complex and high-impact cases involving key financial institutions such as policy banks, rural commercial banks, and leading security companies. These investigations also revealed deep-rooted institutional issues in the market, promoting reform through case resolutions.

Additionally, NAFMII enhanced its technological capabilities in investigations, enriching its methods through data analysis and other technologies to improve the processing and analysis of vast transaction data. A data analysis platform has been developed, and cooperation with instant messaging tool providers was strengthened to improve the accuracy, timeliness, and effectiveness of self-regulatory investigations.

Furthermore, NAFMII has established a mechanism for the two-way transfer of cases between self-regulatory organizations and financial regulatory authorities, and has continued to expand cooperation with public security agencies, disciplinary inspection and supervision departments, and administrative authorities responsible for anti-money laundering.

5.4

Self-disciplinary penalties

The decision to impose a self-disciplinary penalty is made by a professional committee consisting of market experts. This process demonstrates that market issues are discussed and resolved by market participants. As of the end of 2024, the self-disciplinary committee had over 159 experts.

Figure 5-2: Expert members of the Self-disciplinary Committee of NAFMII

NAFMII may impose reputation penalties (Table 5-2) in conjunction with behavior penalties such as demanding rectifications, suspension of business, cancellation of NAFMII membership, and labeling inappropriate persons based on the severity of a violation. By the end of 2024, NAFMII had imposed over 1,300 self-disciplinary penalties against perpetrators for their misconduct in bond underwriting, offering and trading activities. In recent years, NAFMII has placed greater emphasis on bond issuance and trading activities, intensified investigations and enforcement efforts, strengthened self-regulation in the interbank market, using effective disciplinary measures to support the high-quality development of the market.

Table 5-2: Self-disciplinary Penalties Imposed by NAFMII
(By the end of 2024)

Type of Entities	Admonishment Talks	Criticism	Warning	Serious Warning	Public Condemnation	Total
Issuers	94	257	48	59	33	491
Credit Enhancement Agencies	5	13	4	0	0	22
Lead Underwriters	30	16	17	1	0	64
Credit Rating Agencies	3	9	7	3	1	23
Law Firms	3	4	3	1	0	11
Accounting Firms	2	2	1	0	0	5
Investors and Others	17	15	11	2	1	46
Individuals	155	289	118	66	26	654
Subtotal	309	605	209	132	61	1316

5.5

Dispute resolution platform

NAFMII has established the Mediation Center for Financial Market Institutional Investor Disputes (the Mediation Center) to resolve business disputes between/among NAFMII members and other market participants, covering the interbank bond market, interbank lending market, foreign exchange market, commercial paper market and related derivatives market. The Mediation Center operates on the principles of voluntariness, honesty, justice, fairness, and respect for the rights of all parties involved. The mediation service is accessible, cost-effective and easy to use for participants involved. By the end of 2024, the Mediation Center had resolved over 120 disputes of various types, contributing to the smooth operation of the market.

Figure 5-3: Procedure of Dispute Resolution

Procedure of Dispute Resolution

Application	An application can be submitted in writing, by phone, mail, fax or e-mail. The application should specify the interested parties, the facts under dispute and the request for mediation.
Acceptance	The Centre will request the respondent's feedback, determine whether to accept the application through a simplified review, and promptly inform all relevant parties.
Mediator(s)	Once the Center accepts the application, it will notify the interested parties and provide them with a list of mediators. The Center will also recommend the most suitable candidate for the case.
Resolution	Once the mediator(s) have been appointed, they will organize the mediation between the parties, and the dispute maybe resolved either on-site or off-site, through written communication, the internet, or by phone.
Agreement	If the parties involved in the mediation have come to an agreement, they may enter into a written or verbal mediation agreement.

Part VI

Further opening up the bond market

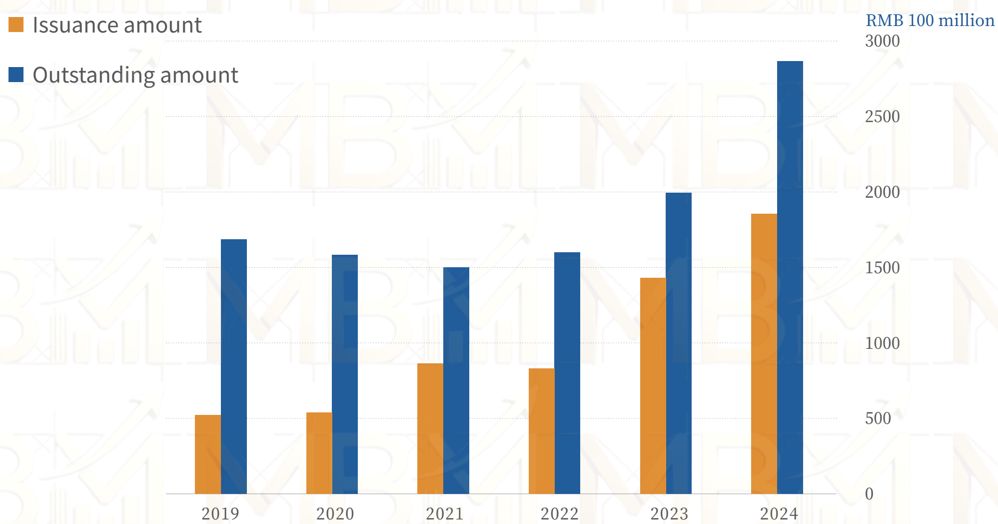
6.1

Panda bond market: a financing channel of overseas issuers

Panda bonds refer to RMB-denominated bonds issued by overseas institutions in China. The interbank bond market, with its broad investor base, well-established rules and infrastructure, as well as abundant professional intermediaries, has become the primary market for panda bond issuance by all types of overseas institutions, including foreign sovereign governments and local governments, MDBs, overseas financial institutions and overseas non-financial enterprises.

By the end of 2024, a total of 109 overseas issuers had entered the CIBM, having issued panda bonds of more than RMB 800 billion cumulatively. Currently, the panda bond market is growing at an accelerated pace. The issuance volume in 2024 alone reached RMB 185.8 billion, an increase of 30% year-on-year.

Figure 6-1: Rapid development of panda bond market



A rich array of products is available for panda bond issuers and investors in the CIBM, including, among others, GSSS bonds, transition bonds and perpetual bonds, in addition to traditional bonds. CIBM has a large investor base with various types of investors. Overseas issuers can issue panda bond with different tenors based on their funding needs and investors' diversified appetites.

Figure 6-2: Tenors of Panda Bonds in the CIBM

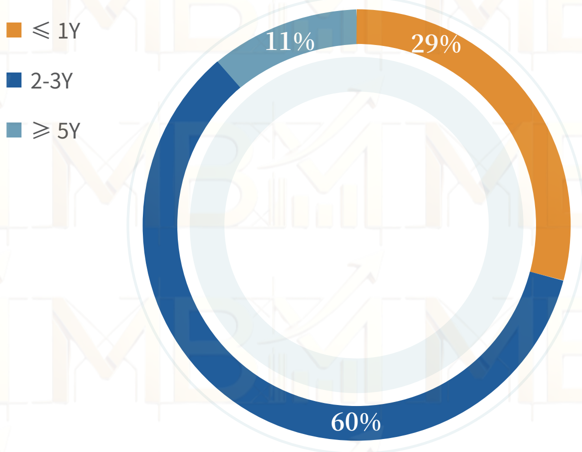
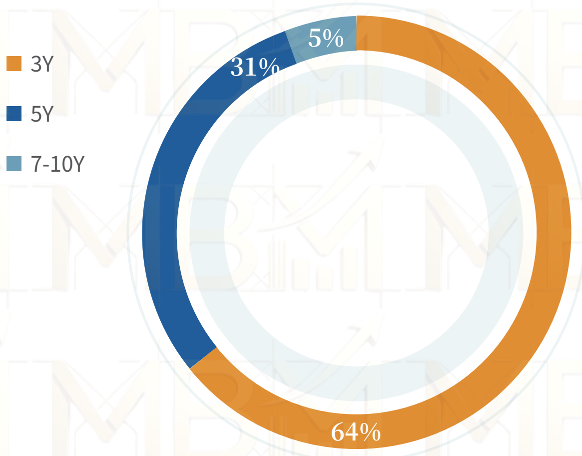


Figure 6-3: Tenors of Panda Bonds Issued by Two Types of Institutions (i.e. foreign governmental agencies and MDBs)



The regulatory authorities and self-regulatory organizations have formulated a complete set of rules concerning market access, offering and pricing, information disclosure, intermediary services, accounting standards, use of proceeds, self-regulation, investor protection and applicable law, enhancing the rule of law and transparency of the panda bond market and lowering the costs of overseas participants.

Panda bond issuers may follow up on the registration process via the designated system, which provides updated information in a timely manner. Their disclosure made at the offering and during the life of the bonds can be aligned with international market practices while catering to domestic investors' reading habits, to achieve consistency in their disclosure in both offshore and onshore markets.

Panda bond issuers may determine whether to be rated based on investors' expectations. They can select lead underwriters from a large number of Chinese banks, securities companies and foreign-funded banks and engage lawyers and other intermediaries in their discretion. The proceeds of panda bonds can generally be used for all legitimate purposes, such as repaying outstanding debts, replenishing working capital, project construction. The offering, pricing and allocation of panda bonds follow the market-oriented principles (see Box VI for more details), and so is the panda bond information disclosure.

Refining the mechanism for information disclosure, pricing and allocation of panda bonds

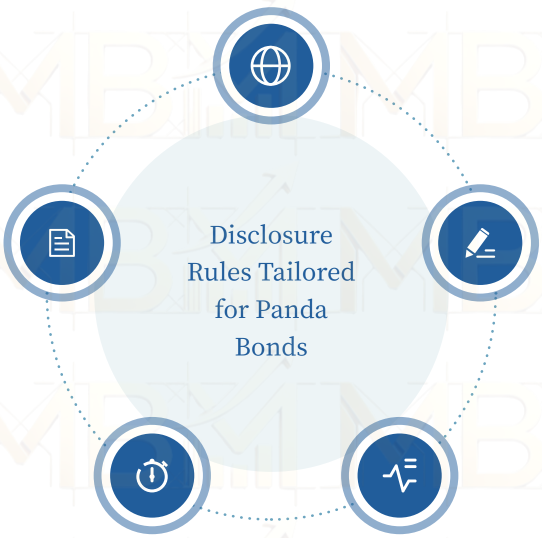
Box VI

NAFMII has tailored information disclosure rules for panda bonds in line with both international and domestic practices. With greater flexibility, overseas issuers may achieve consistency in their information disclosure across different markets.

Figure 6-5: Disclosure Rules Tailored for Panda Bonds

- Aiming to strike a balance between translation cost of overseas issuers and the reading habits of domestic investors.
- Differentiated pre-issuance and post-issuance disclosure arrangements for various types of investors, based on the importance of the disclosure documents.

Disclosure languages



Disclosure contents

- Leveraging on the precedents set by the prospectus of the European Wholesale Securities Market (EWSM).
- The form requirements for panda bond prospectuses are simplified and flexible compared to that of bonds issued by domestic enterprises.

Disclosure frequency

Overseas issuers that do not prepare quarterly reports are allowed to only disclose their annual and semiannual reports.

Disclosure timing

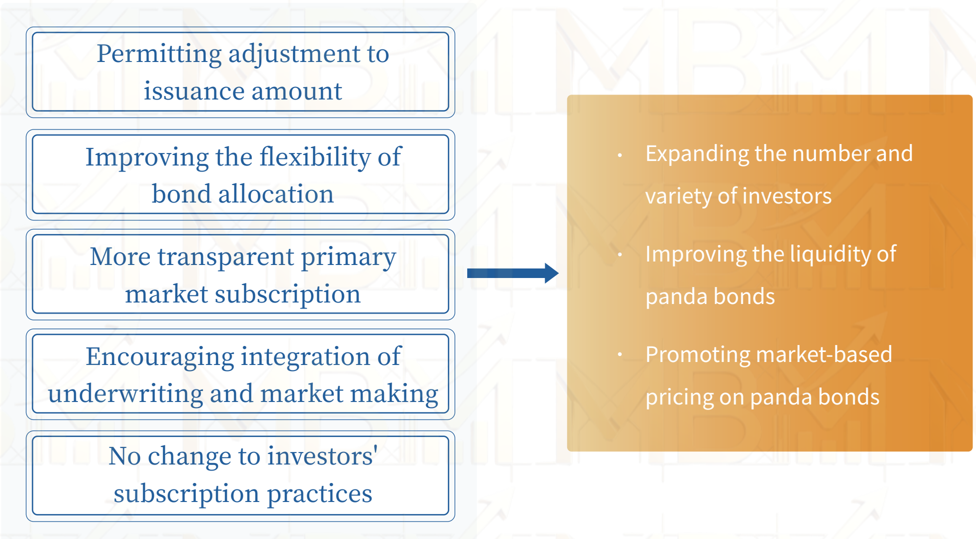
Overseas issuers whose financial year is not calendar year are allowed to set forth in their prospectuses the timing of disclosure of their annual reports and semiannual reports.

Disclosure of material events

Overseas issuers are allowed to define, in their prospectuses, material events required to be disclosed.

To help international issuers access a broader investor base and to achieve better market liquidity, NAFMII launched a pilot program to refine the pricing and allocation mechanism of panda bonds in September 2023. Under the pilot program, overseas issuers are allowed to adjust the issuance amount after the subscription process ends based on subscription orders; overseas issuers and their book-runners may allocate bonds with certain flexibility pursuant to the pre-disclosed allocation principles; overseas issuers are able to obtain information on underlying investors during the bond offering process, ensuring the transparency of book-building subscription process.

Figure 6-6: Measures and Goals of the Pilot Program



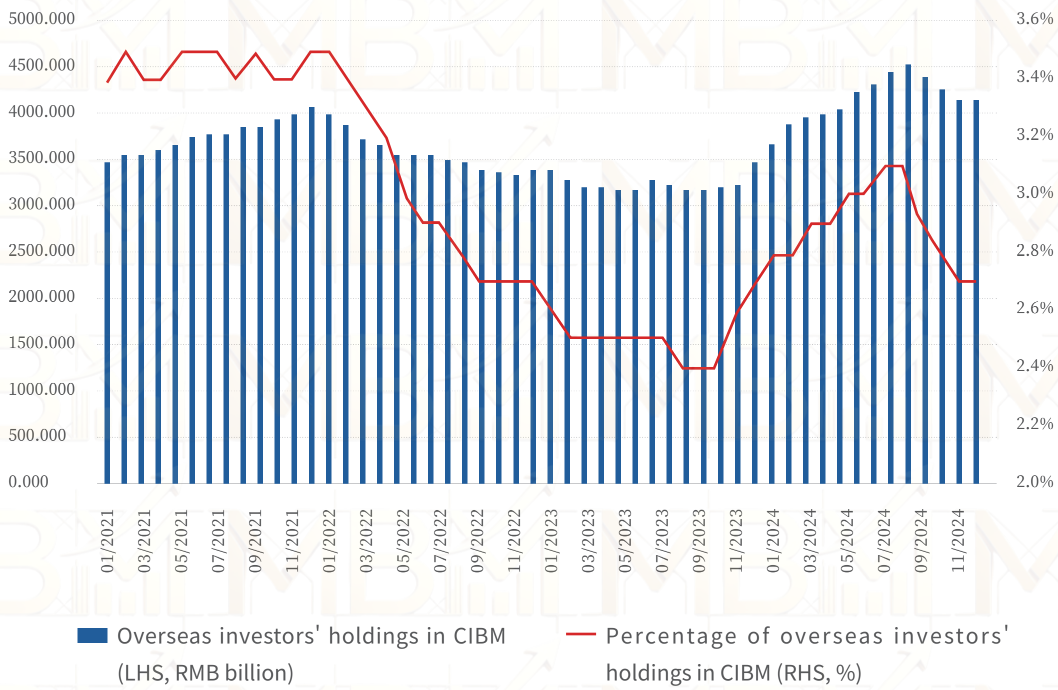
In 2024, an increasing number of overseas issuers, such as BASF, Bayer, and BMW, adopted the new mechanism when issuing panda bonds. As shown in practice, the new mechanism helps to achieve a win-win situation for issuers, investors, and lead underwriters. From issuers' perspective, the investor base may be diversified, the bond liquidity may be enhanced and the price guidance can be provided for subsequent issuances. For investors, the chances to receive allocations and the allocation ratio for high-quality investors can be increased, and bond trading becomes easier. For lead underwriters, market-oriented pricing will alleviate their pressure from standby commitment.

6.2

Providing full service to overseas investors

As of the end of 2024, overseas investors held RMB 4.16 trillion of debt securities on CIBM, accounting for approximately 2.7% of the total outstanding volume. At present, overseas investors mainly hold interest rate bonds, the remaining maturities of which concentrate on 0-1Y and 7-10Y.

Figure 6-7: Overseas investors' holdings of debt securities in the CIBM



Data Source: Bond Connect Company and the PBC Shanghai Head Office

In recent years, regulators and self-regulatory organizations have introduced multiple measures to further open up the bond market to overseas investors. Overseas institutions may invest in China's bond market through the CIBM Direct or/and Bond Connect. By the end of 2024, a total of 1,156 overseas institutions had been granted access to CIBM, among which 592 institutions used the CIBM Direct, 830 institutions used Bond Connect, and 266 used both.

Table 6-1: Measures of Opening up China's Bond Market to Overseas Investors

Opening up for Overseas Investors	Specific Measures
Opening up the CIBM and the exchange market in a coordinated way	The investment scope has been expanded to the bonds traded on the exchange market. The entry filing process has been simplified.
Improving management of fund flows	The requirements for account opening, settlement and sale of foreign currencies, FX risk management, and fund repatriation and remittance have been clarified.
Facilitating RMB interest rate risk management	Swap Connect has been launched.
Preferential tax treatment	Overseas investors are temporarily exempt from value-added tax and corporate income tax on their interest income from their investment in China's bond market.
Facilitating trading and risk hedging	NAFMII has amended the NAFMII Master Agreement and released a cross-border version.

6.3

Fostering a favorable environment for overseas intermediaries

Foreign-funded underwriters. NAFMII has continued to introduce foreign-funded underwriters by adhering to the principles of market-orientation, fairness, impartiality, openness, national treatment and reciprocity. Foreign financial institutions such as banks are encouraged to play dynamic roles in the CIBM to expand the opening-up of the market. They are also encouraged to take part in the market-based evaluation and obtain licenses of debt financing instrument lead underwriters in accordance to the evaluation results.

NAFMII has adopted tiered management of underwriting licenses[7]. The market-based evaluation mechanism was streamlined in 2023. Lead underwriters have been categorized into full-service lead underwriters and specialized lead underwriters. The global resources available to foreign-funded banks and the strengths of their overseas parents are taken into account in the evaluations. Moreover, to further open up the financial service sector and facilitate foreign institutions to access the CIBM, a category of specialized lead underwriters for panda bonds has been created for the benefit of foreign-funded underwriters. By the end of February 2025, 14 foreign-funded banks had been granted underwriting licenses, including 5 full-service lead underwriters, 3 specialized lead underwriters for panda bonds and 6 underwriters.

Foreign-funded credit rating agencies (CRAs). In July 2017, PBC promulgated an announcement to allow eligible foreign CRAs to conduct business in the CIBM, requiring them to apply to NAFMII for registration. Before conducting credit rating business on CIBM, foreign CRAs shall submit regulatory commitment letters to the

[7] Full service lead underwriters may conduct the lead underwriting business of all types of debt financing instruments in the CIBM, while specialized lead underwriters may conduct the lead underwriting business of certain types of debt financing instruments.

PBC and designate their branch offices in China to cooperate with the regulators on their supervision. In March 2018, NAFMII clarified the rules regarding the evaluation indicators for registration of CRAs, the implementation of such evaluation and the uses of evaluation results.

In January 2019, the registration of S&P Ratings (China) for conducting credit rating business in the CIBM was approved. In May 2020, Fitch Bohua, a wholly-owned subsidiary of the US-based Fitch Ratings in China received approval to conduct Class B credit rating business covering financial bonds and structured products.

Foreign market makers. Market makers play a crucial role in improving market liquidity and facilitating price discovery. NAFMII conducts self-regulatory supervision of the market makers by regularly evaluating their activities with reference to indicators including quotation continuity, bond coverage, pricing power, trading volume and client base. By the end of 2024, a total of 13 foreign-funded banks and securities companies were qualified as cash bond market makers, and 15 foreign-funded banks and securities companies were qualified as Bond Connect dealers.

Table 6-2: Foreign-funded Cash Bonds Market Makers and Foreign-funded Bond Connect Dealers in the CIBM

No.	Cash Bond Market Makers	Northbound Bond Connect Dealers
1	Deutsche Bank (China) Co., Ltd.	Deutsche Bank (China) Co., Ltd.
2	HSBC Bank (China) Company Limited	HSBC Bank (China) Company Limited
3	Mizuho Bank (China), Ltd.	Mizuho Bank (China), Ltd.
4	BNP Paribas (China) Limited	BNP Paribas (China) Limited
5	Citibank (China) Co., Ltd.	Citibank (China) Co., Ltd.
6	Bank of America, N.A., Shanghai Branch	Bank of America, N.A., Shanghai Branch
7	JPMorgan Chase Bank (China) Co., Ltd.	JPMorgan Chase Bank (China) Co., Ltd.
8	UBS Securities Co. Limited	UBS Securities Co. Limited
9	MUFG Bank (China), Ltd.	MUFG Bank (China), Ltd.
10	DBS Bank (China) Limited	DBS Bank (China) Limited
11	Standard Chartered Bank (China) Limited	Standard Chartered Bank (China) Limited
12	The Bank of East Asia (China) Limited	Sumitomo Mitsui Banking Corporation (China) Limited
13	Fubon Bank (China) Co., Ltd	Fubon Bank (China) Co., Ltd
14		Societe Generale (China) Limited
15		Goldman Sachs (China) Securities Company Limited

Chronicle

In January 2024

the PBC and the Hong Kong Monetary Authority (HKMA) collaborated to include the RMB Treasury bonds and policy bank bonds under the Bond Connect as eligible collateral for the HKMA's RMB liquidity arrangements.

In February 2024

the PBC issued *the Notice on Matters Concerning the Over-the-Counter Bond Business in the CIBM*. This notice further clarified the requirements for business of bonds traded over the counter, including the types of bonds, trading methods, and account opening procedures for investors.

In March 2024

the NAFMII issued *the Self-regulatory Guidelines for Credit Rating Business in the CIBM and the Guidelines for Information Disclosure of Credit Rating Business in the CIBM* to strengthen the self-regulation of credit ratings in the CIBM, standardize credit rating business, and promote the healthy development of the CIBM.

In March 2024

the NAFMII and the Securities Association of China (SAC) jointly drafted and released *the Measures for the Joint Market-based Evaluation of Credit Rating Agencies in the Bond Market*, aiming to improve the evaluation system for credit rating business and strengthen the unified cross-market regulation of the credit rating industry.

In April 2024

the NAFMII released *the Swap Connect Cleared Derivatives Agreement(2024 Version)* to meet the agreement signing requirements of the participants in the "Swap Connect" business, improve the negotiation and signing efficiency in transaction, and promote the continuous expansion of the "Swap Connect" business.

In May 2024

the PBC, the Securities and Futures Commission (SFC) of Hong Kong, and the HKMA announced further optimization of the mechanism arrangements for mutual access between the Hong Kong and China mainland interest rate swap markets, known as the "Swap Connect," to promote high-level opening up of China's financial market

In June 2024

multinational corporations such as BASF, BMW, and Bayer AG successively issued panda bonds, introducing innovative mechanisms in the issuance process, including "flexible allocation for subscription orders in marginal rate area" "bond allocated by time-priority principle in marginal rate area" and "sharing of underlying subscription orders". These mechanisms helped to promote market-oriented and transparent pricing of the bonds.

In July 2024

the PBC announced its support for overseas institutions to use "Bond Connect" bonds to pay the margin for the "Swap Connect".

In July 2024

the PBC and the SAFE jointly issued a notice on amending the Regulations on the Domestic Securities and Futures Investment Capital of Foreign Institutional Investors. The amended Regulations will further improve the management of the cross-border capital of QFIIs and RQFIIs.

In October 2024

the PBC decided to launch the securities, funds, and insurance companies swap facility (SFISF). This facility supports qualified securities firms, fund management companies, and insurance companies in exchanging high-grade liquidity assets such as government bonds and central bank bills from the People's Bank of China, using bonds, stock ETFs, and constituents of the CSI 300 Index as collateral. This measure aims to enhance the financing and equity-holding capabilities of financial institutions and better play a stabilizing role in the capital market.

In October 2024

the PBC), the Ministry of Ecology and Environment (MEE), the National Financial Regulatory Administration (NFRA), and the China Securities Regulatory Commission (CSRC) issued the Opinions on Leveraging Green Finance to Support the Beautiful China Initiative, The document mentioned that "we will vigorously develop green bonds by supporting eligible enterprises in issuing green and transition bonds", "financial institutions are encouraged to enhance green bond issuance and investment".

In November 2024

Suzano, a multinational corporation headquartered in Brazil, successfully issued panda bonds, becoming the first issuer from South America in China's bond market. This marks the expansion of panda bond issuers to cover five continents: Asia, Europe, Africa, North America, and South America.

Annex I

Issuing bonds by overseas issuers in CIBM

Various types of overseas issuers, including governments, multinational development banks, financial institutions and non-financial enterprises, can issue RMB-denominated bonds in the CIBM.

Table 1: Comparison of Panda Bonds Issued by Different Types of Overseas Issuers

No.	Governments	International development institution	Financial institutions	Non-financial enterprises
Scopes of issuers	Sovereign, local governments, agencies performing government functions	Multilateral, bilateral and regional financial institutions that make development loans and investments	Financial institutions registered or incorporated outside of the mainland China	Non-financial enterprises registered or incorporated outside of mainland China
Registration/ approval authorities	NAFMII	NAFMII	PBC	NAFMII

Registration/ approval process	Issuer submits an application letter to NAFMII- NAFMII accepts the applications that meet the requirements–NAFMII reviews application documents–NAFMII organizes review by the registration experts (except for private placements)– NAFMII issues the Notice of Acceptance of Registration	Upon the receipt of an application for approval and the satisfaction of the requirements for application materials, PBC issues a Decision on Granting Administrative License to the issuer	NAFMII accepts the applications that meet the requirements–NAFMII review application documents –NAFMII organizes review by the registration experts (except for private placements) – NAFMII issues the Notice of Acceptance of Registration
Shelf-registration	One registration for an issuance program and multiple issues thereunder (within the registered issuance amount). The issuer can issue bonds in its discretion within 12 months after NAFMII's acceptance of the registration, and after such 12 months, the issuer can issue bonds upon a filing with NAFMII (issuers can issue bonds in its discretion via private placement within the 2-year registration validity period)	One approval for an issuance program and multiple issues thereunder (within the approved issuance amount). For subsequent issuances, relevant documents shall be filed with PBC	One registration for an issuance program and multiple issues thereunder. For seasoned issuers that meet certain criteria, there can be no limit on registered amount
Underwriters	Experienced in domestic bond underwriting, and meeting applicable requirements under the relevant regulations of PBC and NAFMII Among them, the lead underwriter should possess the DFI lead underwriting qualification (see the official website of NAFMII for the list)	Experienced in domestic bond underwriting, and meeting applicable requirements under the relevant regulations of the PBC	Possessing the DFI lead underwriting qualification (see the official website of NAFMII for the list)

Registration documents	Registration report, letter of recommendation issued by lead underwriters, internal authorization document(s) approving the proposed issuance, offering circular, the financial statements (audited) or economic data report for the most recent three fiscal years, legal opinions (for private placements, registration documents can be simplified)	Application letter, the authorization document(s) approving the proposed issuance, offering circular, the financial statements (audited), financial license certificate, legal opinions, etc.	Registration report, letter of recommendation issued by lead underwriters, internal authorization document(s) approving the proposed issuance, offering circular, the financial statements (audited), legal opinions (for private placements, registration documents can be simplified)
Offering and pricing	Bonds offered through book-building, priced through Dutch auction		
Information disclosure	• At the offering and post-issuance of the bonds, the obligation of information disclosure shall be performed in accordance with the applicable requirements. Information disclosure shall be true, accurate and complete and made on a timely basis, without false records, misleading statements or material omissions • To ensure the consistency of disclosure at home and abroad, foreign issuers are given certain flexibility in the contents, language, timing and frequency of disclosure.		
Use of proceeds	Can be used for general purposes onshore or offshore in compliance with applicable laws and regulations		can be used onshore or offshore for repayment of existing debt, project construction, replenishment of working capital and other purposes in compliance with applicable laws and regulations

Accounting standards	No restrictions	• For public offerings: China Accounting Standards or equivalent accounting standards. Otherwise, a narrative description of the material differences between the accounting standards adopted by the issuer and China Accounting Standards should be disclosed • For private placements: agreed between the issuer and investors	• For public offerings: China Accounting Standards or equivalent accounting standards. Otherwise, a description of the material differences between the accounting standards adopted by the issuer and China Accounting Standards, as well as a reconciliation of the audited financial statements into China Accounting Standards are required • For private placements: agreed between the issuer and investors
Audit supervision	• If China Accounting Standards are adopted: engage a PRC accounting firm to conduct audit • If other accounting standards are adopted: engage a PRC accounting firm or a qualified overseas accounting firm to conduct audit If reconciliation between accounting standards is required: engage a PRC accounting firm to perform verification Overseas accounting firms shall make filings with the Ministry of Finance		
Bond products	No limit on the tenor of bonds, and different types of transaction structures (such as SPV issuer + guarantee) can be deployed according to the actual needs of the issuer. Overseas issuers can also tap innovative products such as green bonds, social bonds, sustainability bonds, and SLB.		
Registration, custody and settlement	Shanghai Clearing House (SHCH)		

Annex II

Investing in China's bond market

Overseas investors may access China's debt capital markets under two regimes: One is Bond Connect that allows overseas investors to trade in onshore bond markets through a linkage between the Mainland China and Hong Kong market infrastructures. The other is the CIBM Direct where the investors can enter the market through their onshore settlement agent banks or custodian banks.

Table 2: Comparison of Two Regimes for Accessing the CIBM

	CIBM Direct	Bond Connect
Key regulators	PBC and SAFE	
Eligible overseas investors	• Foreign central banks, international financial institutions and sovereign wealth funds • Foreign commercial banks, insurance companies, securities companies, fund management companies, other asset management companies and unincorporated foreign investment products issued by any of the above foreign financial institutions • Other foreign medium- and long-term institutional investors such as foreign pension funds, charity funds and donation funds	
Investment scope	• Any products traded on the CIBM (including ABS) • Investing in the exchange bond market directly or through the mutual market access schemes • Bond forwards, bond lending, interest rate forwards, interest rate swaps and FX derivatives for hedging purposes • Repos (according to a consultative document published by the PBC and the SAFE, all overseas institutional investors trading cash bonds on the CIBM will have access to the CIBM repo market)	• Any products traded on the CIBM (including ABS) • IRS (through Swap Connect)

Investment currency	CNY (converted from foreign currencies) and CNH	
Investment quotas	No limit	
Custody	• Settlement agency mode: direct holding • Custodian mode: multi-level custody with nominee accounts	• Multi-level custody with nominee accounts
Legal / Beneficiary ownership	• Settlement agency mode: assets are held in segregated and dedicated accounts, which are opened in the name of the overseas institutional investor or the fund/client • Custodian mode: the bonds purchased via domestic custodian banks shall be registered in the name of the domestic custodian banks, and it shall be entitled to rights and interests in the bonds according to the law	• Arrangements between nominee holder (i.e. CMU) and beneficial owners are acknowledged. Legal relationship between CMU participants and CMU shall be governed by Hong Kong law
Clearing & settlement	• Settle agency mode: direct clearing and settlement • Custodian mode: through domestic custodian banks as the nominee holders	• Through CMU as the nominee holder
Scope of counterparties	• No specific restriction	• Onshore Bond Connect Dealers only
Hedging permitted or not	• Permitted (trading RMB/FX derivatives on an as-needed basis for the purpose of hedging FX risk exposure)	• Permitted (hedging FX risks exposure with the Hong Kong settlement banks only; Hong Kong settlement banks may then square the positions generated from such trades in PRC onshore market on an as-needed basis under the northbound Bond Connect)

Annex III

Documentation on standard derivative contracts issued by NAFMII

Type	Document	Implications
Master Agreements	NAFMII Master Agreement (2009 Version)	These documents cover application scenarios, including transactions between domestic institutions and cross-border transactions. They help market participants manage counterparty risks and protect the rights and interests of investors
	NAFMII Master Agreement (Cross-border-2022 Version)	
	Swap Connect Cleared Derivatives Agreement (2024 Version)	
Performance Assurance Documents	NAFMII Pledge Performance Assurance Document (2009 Version)	
	NAFMII Title Transfer Performance Assurance Document (2009 Version)	
Terminology Documents	These documents provide definitions for trading terminology, including for trading interest rates, exchange rates, bonds, credits, gold, carbon, and other derivatives	Market participants' demand for standardized trading in various types of derivatives has been substantially met
Standard Documents on IBOR Fallbacks	IBOR Fallbacks Protocol and IBOR Fallbacks Supplement to NAFMII Master Agreement (2009 Version)	These documents aim to implement the consensus on advancing the international reform with respect to interest rates, actively manage the withdrawal of LIBOR, and promote the stable operation of financial institutions and the derivatives market
	IBOR Fallbacks Booklet for China Interbank Market Derivatives Transactions	

Standard Documents on credit derivatives	NAFMII Master Agreement (Special Version for Warrants)	This document aims to facilitate market trading through multilateral execution for CRMWs linked to a single obligation
	Sample Text for Illustrating the Creation of Credit Risk Mitigation Warrants (2021 Version)	This document promotes the standardization of warrant creation, which is expected to increase trading activity in the market